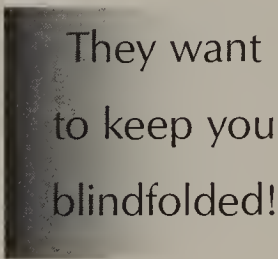


INTERVIEWER: Do you understand it?

EDWARD YINGLING: I do understand it. I think it'd be very hard for a lot of people to understand. And I think it's a constant battle to try to figure out how you make disclosures and those types of things in plain English so that somebody will read them.

The mortgage lenders and the folks who give us our car loans have figured out a way to make a contract that we can understand. We usually don't like the gargantuan figure that represents the total interest that we will have paid at the end of the contract, but at least there are no surprises. Paying interest is hard enough when you know what you are paying. Paying surprise fees and interest rates that magically grow overnight like Pinocchio's nose or Jack's magic beanstalk gets a little absurd.

Master Illusionists



They want
to keep you
blindfolded!

Credit card contracts are designed by credit card company lawyers to keep the credit card issuers and banks in business. If they keep us, the consumer, the everyday citizen, guessing in the dark, they really don't care. When Yingling talked about credit cards and the confusion that most people have regarding their terms, he was not at all apologetic. He stated that, "The product is not a promise to somebody that we will lend you that amount of money forever at that interest rate." The credit card companies just don't want us to know when things change. What we don't know will hurt us.

Professor Elizabeth Warren argues that credit card companies should put a one-line sentence on the monthly billing statement, directly under the amount of the minimum payment, that simply states, "The balance of xx dollars at the current interest rate of xx percent will take xx months to pay off." Full disclosure should be so easy, but Yingling said that would be impossible. He claims that there are too many variables to run such a calculation for every statement, and the customer would make more purchases, causing the calculation to be moot. That is not the point that Ms. Warren was making. Down and dirty: show how